

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

I declare this is my own work.

GCSE

ECONOMICS

Paper 1 How Markets Work

Predicted Paper **Moderate** **Time allowed: 1 hour 45 minutes**

Materials

You will need no other materials.

You may use a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- Questions should be answered in continuous prose. You will be assessed on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

For Examiner's Use	
Section	Mark
A	
B	
TOTAL	

Section A

Answer all questions in the spaces provided.

For questions with four responses, only **one** answer per question is allowed.
For each question, completely fill in the circle alongside the appropriate answer.

01 The fundamental economic problem arises because

[1 mark]

- A all countries trade with each other. ☐
- B governments must collect taxes. ☐
- C resources are scarce but wants are unlimited. ☐
- D some firms make very high profits. ☐

02 Which of the following is an example of the factor of production **capital**?

[1 mark]

- A A skilled engineer ☐
- B A delivery van used by a bakery ☐
- C A natural forest ☐
- D An entrepreneur's business idea ☐

03 A student chooses to study A-levels rather than take an apprenticeship that would pay £18 000 per year. The opportunity cost of this decision is

[1 mark]

- A the cost of textbooks for A-levels. ☐
- B the £18 000 income given up. ☐
- C the time spent doing homework. ☐
- D the satisfaction of passing exams. ☐

04 Which of the following is most likely to be a benefit of specialisation for **workers**?

[1 mark]

- A Increased boredom from repetitive tasks ☐
- B Higher wages due to developed skills ☐
- C Less need for training ☐
- D A greater variety of tasks each day ☐

05 Table 1 shows the value of output in selected industries of an economy in year Y.

Table 1

Industry	Value of output (£ bn)
Farming	14.2
Construction	48.6
Car manufacturing	55.1
Retail	72.3
Finance	88.9

Using **Table 1**, identify the correct statement. In year Y

[1 mark]

- A the primary sector had an output of £62.8 bn. ☐
- B the secondary sector was the most valuable economic sector. ☐
- C the tertiary sector had an output of £161.2 bn. ☐
- D the tertiary sector was less valuable than the secondary sector. ☐

06 Table 2 shows the weekly pay of two occupations.

Table 2

Occupation	Weekly pay (£)
Solicitor	900
Cleaner	450

Calculate the ratio of a solicitor's weekly pay to a cleaner's weekly pay from **Table 2**.

[1 mark]

- A 0.50:1 ☐
- B 1.50:1 ☐
- C 2.00:1 ☐
- D 4.50:1 ☐

07 Identify which of the following is an example of a firm acting in an **ethical** manner.

[1 mark]

- A The firm pays its workers less than the legal minimum wage. ☐
- B The firm sources its raw materials from sustainable suppliers. ☐
- C The firm disposes of waste chemicals in a local river. ☐
- D The firm uses misleading advertising to increase sales. ☐

08 Goods X and Y are substitutes. The price of good X increases. What will happen in the market for good Y?

[1 mark]

- A Demand decreases ☐
- B Demand increases ☐
- C Supply decreases ☐
- D Supply increases ☐

09 Which of the following firms is most likely to operate in a **competitive** market?

Firm	Ease of entry	Number of firms in industry	Product differentiation
A	Low	Low	High
B	Low	High	Low
C	High	High	Low
D	High	Low	High

[1 mark]

- A Firm A ☐
- B Firm B ☐
- C Firm C ☐
- D Firm D ☐

10 The price elasticity of demand for bread is -0.5 . The price of bread increases by 10%. What is the change in quantity demanded as a result?

[1 mark]

- A -5% ☐
- B -20% ☐
- C $+5\%$ ☐
- D $+20\%$ ☐

1 1

State **two** functions of money.

[2 marks]

1

2

1 2

Explain **one** impact of a monopoly on the price paid by consumers.

[2 marks]

1 3

Explain why a local farmers' market is an example of a market.

[2 marks]

1
4
1

The following data relate to a small bakery that has made and sold 800 loaves of bread.

- Average cost per loaf: £1.20
- Selling price per loaf: £2.50

Calculate the total profit earned by the bakery from selling 800 loaves of bread.

[2 marks]

£ _____

1
4
2

Explain **one** way the bakery could increase its profit.

[2 marks]

15

Figure 1 – Rising wages in the UK hospitality sector

In 2024, many UK hospitality businesses such as pubs, cafés and restaurants were affected by a significant rise in the legal minimum wage. This increase led to concerns among employers about the impact upon prices, employment and the survival of smaller businesses.

Year	National Living Wage (£ per hour, age 21+)
2022	9.50
2023	10.42
2024	11.44

Analyse the possible impact of rising wages such as those shown in **Figure 1** upon UK hospitality businesses.

[6 marks]

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

1 **6**

State **two** features of a market operating under perfect competition.

[2 marks]

Feature

1

Feature

2

1 **7**

Explain **one** possible reason why doctors tend to earn more than supermarket cashiers.

[2 marks]

1 **8**

Explain **one** possible reason why the demand for table salt is likely to be price **inelastic**.

[2 marks]

1
9
1

Table 3 shows data relating to the workforce of Rosie's Bakery, which is one of several bakeries in a town centre.

Table 3

Number of workers	Loaves baked per day
5	178

Using **Table 3**, calculate the daily productivity of the workforce of Rosie's Bakery.

Give your answer to the nearest whole number.

[2 marks]

Loaves per day = _____

1
9
2

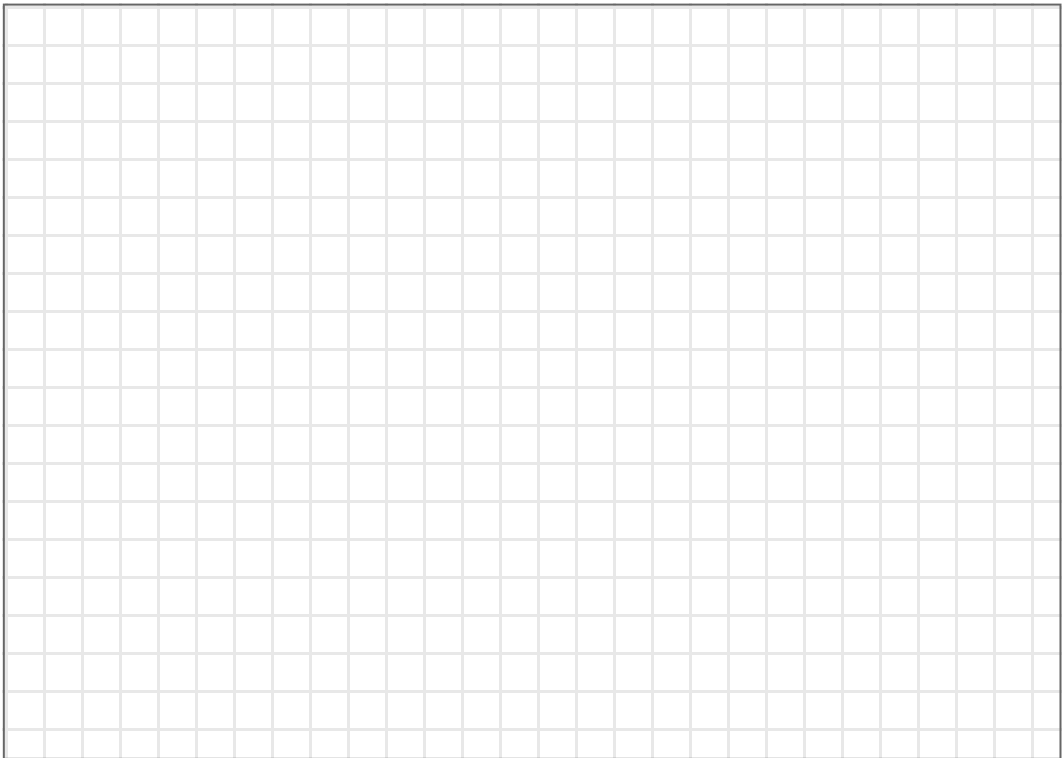
Explain **one** benefit of increased productivity to a business such as Rosie's Bakery.

[2 marks]

20

Draw and label demand and supply curves on the graph below from the following table of information. Clearly identify the equilibrium price and quantity.

Price (£)	Quantity demanded (units)	Quantity supplied (units)
2	16	4
4	12	8
6	8	12
8	4	16



[3 marks]

Harry's Honey is a small business that produces and sells jars of honey. Since Harry started the business, it has increased in size. He has employed more labour, bought more hives and acquired specialist bottling machinery. This has helped the business to become more efficient. However, Harry has noticed that as output has risen, it has become harder to keep track of what each employee is doing and some mistakes have appeared. Harry has worked out his total costs of production at different levels of output, as shown in **Table 4**.

Output of honey (jars)	Total costs (£)
500	4 000
1000	7 000
1500	9 750
2000	14 000

[9 marks]

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Section B

Answer all questions in the spaces provided.

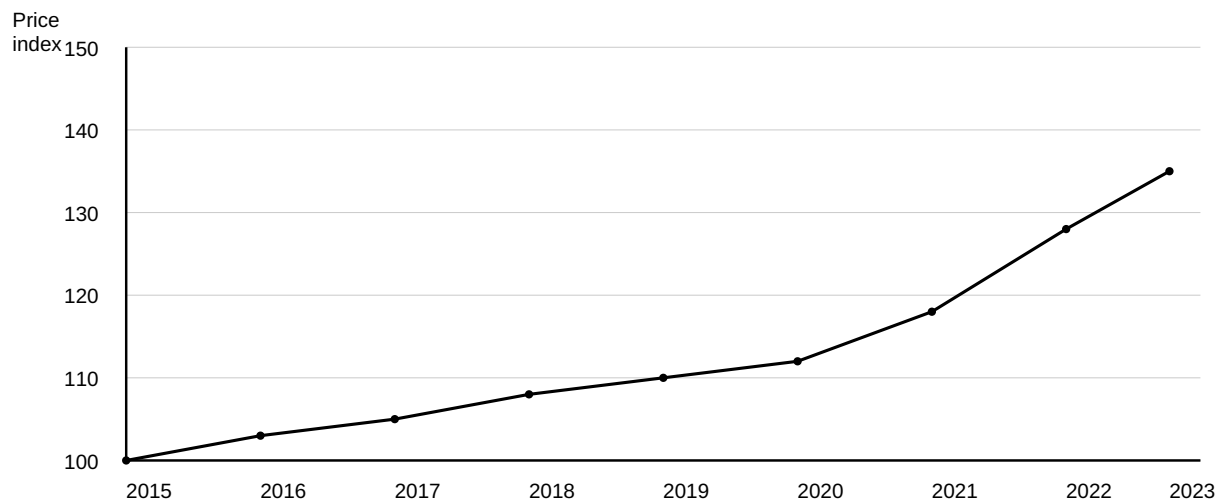
Item A – The UK coffee shop market

The UK coffee shop market has grown rapidly over the past two decades. There are now more than 27 000 coffee shops in the UK, employing around 210 000 workers. A small number of large chains, including Costa Coffee, Starbucks and Caffè Nero, together account for more than half of all branded outlets.

Independent coffee shops (those that are not part of a large chain) compete with these chains. They tend to offer a more personal service and locally-sourced products, but face higher average costs per cup than their larger rivals. Between 2018 and 2023, the average price of a takeaway cappuccino in a UK chain rose by around 35%. **Figure 3** shows the UK coffee shop price index from 2015 to 2023.

Economists say that the UK coffee shop market is an example of an imperfectly competitive market, where the actions of a few large firms can affect prices. Rising prices have led consumers to switch to cheaper alternatives such as making coffee at home.

Figure 3 – UK coffee shop price index 2015 to 2023 (2015 = 100)



Item B – Possible government actions in the coffee shop market

The UK government has considered ways to promote more competition in the coffee shop market and to reduce the cost of coffee to consumers. One option would be to impose a tax on the largest coffee chains, using the revenue to support independent shops. This could make independent shops more competitive.

Alternatively, the government could reduce business rates (a tax on commercial property) for smaller independent shops, or run advertising campaigns encouraging consumers to support local businesses. Others argue that no action is needed, because the market already offers plenty of choice and consumers can easily make coffee at home or switch to other hot drinks.

Critics of government intervention point out that taxing large chains may simply lead to higher prices for consumers, as the chains pass the tax on. Subsidising smaller shops may create an opportunity cost for the government, meaning that money is not available for other important areas such as the NHS or schools.

2 2

Define the term '**supply**'.

[2 marks]

2 **3**

Using **Figure 3**, on the previous page, calculate the percentage change in the UK coffee shop price index between 2017 and 2023.

Give your answer to the nearest whole %.

[3 marks]

Answer = _____

2 **4**

Analyse the possible **positive** externalities that may result from a growing number of coffee shops in a local area.

[6 marks]

25

Explain **two** possible disadvantages of the UK coffee shop market being dominated by a few large chains.

[6 marks]

Disadvantage

1

Disadvantage

2

26

The UK government may use several methods to reduce the market power of large coffee chains. Do you think the UK government should impose an extra tax on large coffee chains in the UK?

Use **Items A** and **B** and your own economic knowledge to justify your view.

[15 marks]

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END OF QUESTIONS